

CRNC  
CRNC N/A

|      |                 |                             |                                   |                      |
|------|-----------------|-----------------------------|-----------------------------------|----------------------|
| Hold | \$11.32 ▲ 4.33% | 12M Price Target<br>\$13.50 | 52-Week Range<br>\$5.85 – \$13.74 | Market Cap<br>\$512M |
|------|-----------------|-----------------------------|-----------------------------------|----------------------|

CRNC: Voice AI Comeback Story Quietly Gaining Traction

WHAT HAPPENED

- CRNC popped 4.3% to \$11.32 on tiny volume (~118K shares vs. usual 800K+) — that's a low-conviction move, more like a drift higher in a quiet tape than real buying. The bigger story: the stock is up ~15% in a week, riding the Tech sector's +2.8% 5-day rally as money rotates back into AI-adjacent names.
- No fresh news today, but the BYD partnership expansion from early May (LLM-powered in-car AI) is the real narrative driver — investors are slowly waking up to the fact that CRNC has actual auto OEM wins, not just promises.

WHY IT MATTERS

This move tells me CRNC is being re-rated as a "credible voice AI play" rather than a dying legacy auto-software vendor — and that re-rating still has room to run if you compare it to SoundHound (SOUN), which trades at a wildly richer multiple for arguably worse fundamentals. The light volume on today's pop is a yellow flag though: real institutional accumulation shows up with volume, and we're not seeing it yet. What matters next is whether the BYD deal translates into actual revenue acceleration — Q2 already missed estimates, so the company doesn't have margin for another stumble. Watch for: more OEM deal announcements (especially with Western automakers) and any sign that LLM-licensing revenue is becoming a real line item.

POLICY & POLITICAL WATCH

Two policy threads matter here. First, the ongoing US-China tariff posture — CRNC's biggest recent win is with BYD, a Chinese EV maker, so if the administration tightens restrictions on US tech licensing to Chinese auto firms (which has been floated in trade negotiations this year), that revenue stream is at risk. Second, the broader auto sector is wrestling with EV tax credit rollbacks and tariff-driven production slowdowns — fewer cars built means fewer software licenses for CRNC, since they get paid per vehicle. Net: the political backdrop for CRNC is neutral-to-slightly-negative, not a tailwind.

IS IT EXPENSIVE?

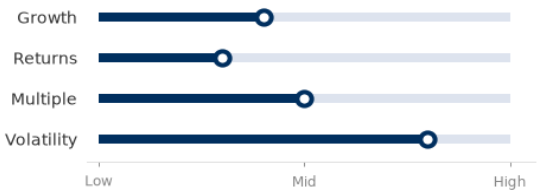
At \$512M market cap on ~\$240M of revenue, investors are paying about \$2 for every \$1 of sales — that's cheap for an "AI" name (SOUN trades at 20x+ sales) but appropriate given CRNC isn't growing fast and still loses money. The bull case: if voice-AI gets re-rated as a real category and CRNC's revenue stabilizes, this could double just on multiple expansion. The bear case: it's cheap for a reason — flat revenue, cash burn, and customer concentration risk.

WHAT COULD GO WRONG

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$11.32  |
| 12M Price Target    | \$13.50  |
| Upside / (Downside) | +19.3%   |
| Market Cap          | \$512M   |
| FY2026E Revenue     | \$240M   |
| FY2027E Revenue     | \$255M   |
| FY2026E EPS         | (\$0.45) |
| FY2027E EPS         | (\$0.15) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$13.00   | \$11.50   | \$9.50    |
| 6 Months  | \$15.50   | \$12.00   | \$8.00    |
| 1 Year    | \$18.00   | \$13.50   | \$7.00    |
| 2 Years   | \$22.00   | \$15.00   | \$6.00    |
| 5 Years   | \$30.00   | \$18.00   | \$4.00    |
| 10 Years  | \$45.00   | \$22.00   | \$3.00    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Technology (+2.8% 5D) and Industrials (+3.6% 5D) — money is rotating back into growth/AI after a soft spring, and anything with an "AI" story is catching a bid. Consumer Discretionary also firming (+3% 5D), which loosely helps the auto-tech thesis.

**COOLING OFF:** Energy (-1.6% 5D) and Financials (flat) — defensive/cyclical money is rotating out and into growth. That's the exact rotation that benefits names like CRNC.

**ROTATION WATCH:** Capital is flowing from value/cyclicals into tech and AI-adjacent small caps — CRNC fits that bucket, which explains the quiet drift higher.

**RELATED PLAY:** If voice AI in autos keeps gaining narrative momentum, look at SOUN (richer valuation but more momentum) and the auto semiconductor names (MBLY, AMBA) that benefit from the same in-vehicle compute trend.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): The "premium" voice AI name — gets a richer multiple because of cleaner growth and louder narrative, even though CRNC has bigger OEM relationships
- MBLY (Mobileye): Auto-tech adjacent, benefits from same in-vehicle AI thesis with better profitability

**CRNC CONTEXT:** CRNC is lagging SOUN dramatically on valuation but starting to close the gap on narrative — that's the bull case in one sentence. If management can execute even modestly, the multiple gap narrows. If they stumble again, SOUN keeps eating their lunch.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

**CONVICTION:** 5/10 — Cautiously interested, not pounding the table. The story is improving but execution is unproven and the political crosswinds (China tariffs, EV policy) are real.

**POSITION SIZE:** 1-2% — this is a speculative turnaround, not a core position. The 52-week range (\$5.85-\$13.74) tells you this thing can cut in half on a bad print.

**ENTRY POINTS:** I'd be a buyer on pullbacks to \$9-10, not chasing here at \$11.32 after a 15% week. Wait for a macro wobble.

**TIME HORIZON:** 12-18 months — you need 2-3 more quarters to see if the BYD/LLM strategy is converting to real revenue acceleration.

**WHEN TO BAIL:** Another revenue miss >10%, loss of a major OEM customer, or a tariff announcement that puts Chinese auto revenue at risk. Also bail if cash burn forces a dilutive raise.

**HEDGING:** Simplest hedge — pair a small CRNC long with a small SOUN short. If voice AI as a category gets repriced lower, both go down and you're protected. If CRNC catches up to SOUN's multiple, you win on both sides.